

How it works

The net worth figure tells financial institutions a lot about an individual's financial status. Over time, a person's net worth can fluctuate—for example, total assets will be boosted if bank deposits earn interest, or the level of debt will increase if a new mortgage is

taken out. If a person's net worth figure increases, it means they are enjoying good financial health; if the figure decreases, the opposite is true.

Net worth is a more relevant indicator of financial health than income or wealth because it takes into account any debt that may be owed or that will accrue.

\$30 million

liquid asset value of ultra-high net worth individuals

Personal assets

*Can be sold for cash
but may take time*

- › Home, which can be sold if downsizing
- › Additional property such as a vacation home
- › Art, jewelry, and other valuables
- › Furniture, especially collectable pieces
- › Vehicles (although they lose value quickly)

NEED TO KNOW

- › **Positive net worth**
When assets are greater than debts.
- › **Negative net worth**
When debts are greater than assets.

High net worth individual (HNWI)
A person with very high levels of liquid assets, commonly viewed as over \$1 million.

Net worth

This figure—assets minus debt—can be used by anyone to assess an individual's wealth at any point in time.

- › If the figure is negative, debts are greater than the value of assets and financial health is poor.

- › If the figure is positive, assets are greater than the value of debts and financial health is OK or good.
- › Financial advisors suggest calculating net worth once a year.

Contingent liabilities

May be owed in the future

- › Taxes such as capital gains
- › Car or other loan guarantees for children who may fail to pay
- › Damage claims such as lawsuits
- › Attorney fees for personal legal disputes

LIQUIDITY AND NET WORTH

Although net worth is a useful measure of current wealth, liquidity tells savers and investors how much cash they could access in an emergency. It is worth keeping a proportion of investments in a form that can be easily converted into cash.